NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH AT AHMEDABAD
Court 2

(MP) CP(CAA) 13 of 2020 in CA(CAA) 5 of 2020

Coram: HON'BLE Ms. MANORAMA KUMARI, MEMBER JUDICIAL
HON'BLE Mr. CHOCKALINGAM THIRUNAVUKKARASU, MEMBER TECHNICAL

ATTENDANCE-CUM-ORDER SHEET OF THE HEARING OF INDORE BENCH OF THE NATIONAL COMPANY LAW TRIBUNAL ON 16.04.2021

Name of the Company: S.P Tools & Processors Pvt Ltd
Dee Tee Industries Pvt Ltd

Section 230-232 of Companies Act

S.NO.	NAME (CAPITAL LETTERS)	DESIGNATION	REPRESENTATION	SIGNATURE
1.				
2.				

ORDER
(through video conferencing)

Mr. Dilip Kumar Jain, PCS appeared on behalf of Petitioner.

In compliance of order date 26.11.2020 of this Adjudicating Authority, the Petitioner has made paper publication in "Free Press Journal" Indore Edition in English and "Choutha Sansar" Indore Edition in Hindi.

The representation of the RD is received.

No representation is received from any other statutory authority.

The Petitioner has filed affidavit in respect of the representation so filed by the RD.

Heard the Petitioner.

Detailed order is passed separately.

CHOCKALINGAM THIRUNAVUKKARASU
MEMBER TECHNICAL

MANORAMA KUMARI
MEMBER JUDICIAL

Dated this the 16th day of April, 2021

AB

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL
INDORE BENCH AT AHMEDABAD

C P (CAA) NO. 13 OF 2020
IN CA (CAA) No.05 /230-232//2020

M/s S.P. Tools & Processors Private Limited
(CIN: U34300MP1983PTC002181)
Company Registered under Companies Act, 1956
Registered office at;
59-B, Sector 'C' Industrial Estate,
Sanwer Road, Indore 452006

... Petitioner- 1 / Transferor Company

M/s Dee Tee Industries Private Limited
(CIN: U34300MP1974PTC001274)
Company Registered under Companies Act, 1956
Registered office at;
28/33, Pologround Industrial Estate,
Indore-452006

... Petitioner-2 / Transferee Company

Order delivered on 16.04.2021

Coram:
Hon'ble Ms.Manorama Kumari, Member (J)
Hon'ble Mr.Chockalingam Thirunavukkarasu, Member (T)

Appearance:

PCS Rajesh Lohia & PCS Dr. DK Jain appeared for both the Petitioner Companies.

ORDER

[Per: Ms.Manorama Kumari, Member (J)

1. The instant petition is filed by petitioner companies under Section 230 and 232 read with Section 66 of the Companies Act, 2013, for seeking the sanction of Scheme of Arrangement in the nature of Amalgamation of M/s S.P. Tools & Processors Private Limited (hereinafter referred to as the 'Petitioner Transferor Company') with M/s Dee Tee Industries Private Limited (hereinafter referred to as the 'Petitioner Transferee Company') and also for restructuring of share capital of transferee company

with effect from the appointed date as mentioned in the Scheme.

2. The aforesaid companies are private limited companies and are part of the same Group. The Group proposes to consolidate the Transferor Company in to Transferee Company. As a result of the consolidation, the following benefits will accrue to the Group:

i. Greater integration and financial strength and flexibility for the combined entity, which would result in maximizing the overall shareholder value and will improve the economic and competitive position of the combined entity;

ii. Opportunities to strengthen leverage for raising resources to finance business needs and strengthen the financial position of the combined entity for future growth and expansion and to create a business structure, which is geared to take advantage of possible growth opportunities;

iii. Achieve greater efficiencies in operations with optimum utilization of resources, better administration an reduced cost. Increased cost savings are expected to flow from focused operational efforts, rationalization, standardization and simplification of business processes and optimum rationalization of administrative expenses and utilization of human resources;

iv. Additional thrust to the combined entity in terms of offering an optimum financial and capital structure resulting in better ability to leverage resources for growth and expansion;

v. Better financial, business and operational prospects including but not limited to, efficient management and improved administrative controls 1

3. The petitioner companies had filed an Application bearing No. CA (CAA) No. 5 of 2020 and sought orders for dispensation of meetings of respective shareholders of both the companies and sole Unsecured Creditor of Petitioner Transferor Company. There being no Secured Creditors of the Petitioner Transferor Company, hence, the meeting was not required. Further, the Petitioner Transferee Company sought directions for convening the meetings of unsecured creditors and a sole secured creditor of Petitioner Transferee Company for the purpose of seeking their approval to the proposed Scheme of Amalgamation.

4. It is submitted by the learned PCS for the Petitioner Companies that this Tribunal vide order dated 25.09.2020 in CA (CAA) No. 5 of 2020 dispensed the meetings of the Equity Shareholders of both the Petitioner Companies, sole unsecured creditor of Petitioner Transferor Company and Unsecured Creditors of the transferor Company in view of the consent by way of an affidavit. However, this Tribunal had directed for convening the meeting of the Unsecured Creditors and a sole Secured Creditor of Petitioner Transferee Company, for the purpose of considering and, if thought fit, approving with or without modification(s), the proposed Scheme of Merger at the said meetings. This Tribunal further directed to issue the notices under section 230(5) read with rule 6 and rule 8 of Companies (Arrangements and Amalgamations) Rule, 2016 (hereinafter referred to as "Companies Rule") in form CAA-3 to (i) Central Government through the Regional Director, (North Western Region); (ii) The Registrar of Companies, Gwalior; (iii) The concerned Income Tax Authorities, and (iv) The Official Liquidator stating that the representations, if any, to be made by them within a period of 30 days from the date of receipt of such notice, failing which it would be presumed that they are having no objection to make on the proposed company scheme. It also

directed by this Tribunal to Publish the notice for the meetings in newspaper in English daily 'Free Press' and Hindi daily 'Choutha Sansar' Indore editions.

5. In compliance of order dated 25.09.2020 the Transferor and the Transferee Company sent Notices to the to (i) Central Government through the Regional Director, (North Western Region); (ii) The Registrar of Companies, Gwalior; and (iii) The Official Liquidator aforesaid statutory Authorities on 06.10.2020 and to (iv) The concerned Income Tax Authorities on 28.10.2020, also published the notice in English daily 'Free Press' and Hindi daily 'Choutha Sansar' Indore editions on 28.09.2020 and the Affidavits of Service and Publication have also been filed on 04.11.2020.

6. It is submitted by the Learned PCS for the Petitioner Companies that the said meeting as directed by this Tribunal was duly convened on 02.11.2020 at the Registered Office of Transferee Company at 28/33, Pologround Industrial Estate Indore 452015, in the state of M.P. and the Chairman CA Rajeev Saxena was appointed by this Tribunal has filed his report as the result of said meeting along with his affidavit dated 02.11.2020. The said report confirms the unanimous approval to the proposed scheme by the Secured Creditor and unsecured creditors present and casted valid votes in favour of scheme of merger.

7. It is further submitted that the petitioner companies have filed this petition for sanctioning of the scheme of merger and amalgamation under section 230-232 of the Companies Act, 2013 and the rule 15 of Companies Rule to this Tribunal on 10.11.2020 and same was admitted by this Tribunal vide order dated 26.11.2020. The petitioner (Transferee Company) was directed to publish the date of hearing in two newspapers, one Hindi "Choutha Sansar" and another English newspaper "Free

Press". Further Transferee Company was directed to issue the notice to the statutory authority namely i) Regional Director ii) Registrar of the Companies iii) Official Liquidator and iv) Income Tax Authority.

8. In compliance to the order dated 26.11.2020, the petitioner companies sent notice of hearing to the i) Regional Director ii) Registrar of the Companies iii) Official Liquidator and iv) Income Tax Authority on 10.12.20 by speed post and the petitioner companies also published the notice of hearing in the two newspapers, Hindi "Choutha Sansar" and English newspaper "Free Press". The affidavit of service and publication was also filed by the petitioner companies on 23.12.2020.

9. It is submitted by the petitioner companies that the Regional Director filed its report along with RoC report dated 24.12.2020 wherein no adverse observation were made by the RD Further, the RD referred Annexure A of its report which is the report of RoC.

10. In response to the representation made by the Regional Director, the Petitioner companies have filed an affidavit dated 12.01.2021 giving their response to all the observations of the Regional Director:

i. With reference to para 1 and 2 (a),(b) and (d) it is submitted by the petitioner companies that it is informative, needs no specific comments.

ii. With reference to para 2(c) the Petitioner companies replied that the Transferee Company shall pay the difference amount of fees which as may be payable on the enhanced authorized share capital of RS. 6,00,00,000/- as on date and the total payable amount of fees which have already been paid by the Petitioner Transferor Company at

the time of registration / increase in authorised capital as the case may be and to undertake to make compliance of Section 232(3)(i) of the Companies Act, 2013 and agree to pay fees accordingly.

iii. With reference to para 2(e) the petitioner companies replied that it is already clarified by the letter dated 13.11.2020 before the OL, that all the charges were already satisfied in full long back mostly prior to the year 2006 and no charge exists on 31.01.2020 on the cut of date. However, due to digitalization of the /MCA/ROC, these entries were not deleted by the ROC/MCA. Necessary action will be taken by the Transferee Company.

iv. With reference to para 2(f) the petitioner companies states and confirm that only one shareholders having status of NRI having 0.41% of the total paid up capital in the Transferee Company, therefore, there is no change in the status of such shareholder as such, as the transferee Company is not required to issue new shares upon the scheme of Amalgamation as approval.

v. In view thereof there is no specific compliance required in regard to FEMA and RBI guidelines. The existing shares issued were in compliance by the petitioner transferee company. However, the petitioner transferee company further undertake to comply with the provisions of FEMA and RBI guidelines, if any, as may be applicable.

vi. With reference to para 2(g) it is submitted that observation of the RD is self-explanatory. Hence needs no further compliance.

vii. With reference to para 2(h) it is submitted that the Petitioner Transferee Company humbly undertake to pay such legal fees expense of the RD.

viii. With reference to para 2(i) it is submitted that observation of the RD is self-explanatory. Hence needs no further compliance.

11. The RD has further stated that there are no complaints against the petitioner companies and also there are no complainants / representations against the Scheme of Merger of the petitioner companies.

12. The Official Liquidator filed the report dated 05.01.2021 wherein no adverse observations were made by the Official Liquidator.

13. It is stated that no representations were received from the Income Tax Authorities or any other regulatory authority for any of the companies. However, it is submitted that on the basis of the records of the Petitioner Companies, as on 31st March 2020, there are no disputed or undisputed outstanding income tax demands against the petitioner Transferor Company.

14. It is submitted by the Learned PCS appearing for the Petitioner Companies that the Scheme is not against the public policy and it will not adversely affect the interests of the secured and/or unsecured creditors. It is further submitted that all statutory obligations under all applicable laws be complied with.

15. In compliance with the proviso to clause (e) of sub-section (7) of Section 230 of the Companies Act, 2013, certificate from the statutory auditors of the Petitioner Transferee Company dated 12.03.2020 is placed on record confirming that the accounting treatment as proposed under the Scheme is in conformity with the applicable Accounting Standards prescribed under section

133 of the Companies Act, 2013.

16. Considering the entire facts and circumstances of the aforesaid company petition and on perusal of the Scheme and the proceedings, it appears that the requirements of the provisions of section 230 and 232 of the Companies Act, 2013 are satisfied by the petitioner companies. In the result, the Company Petition No. CP (CAA) No. 13 of 2020 is allowed. It is declared that the petitioner Transferor Companies M/s S.P. Tools & Processors Private Limited (Transferor Company) shall stand dissolved without winding up proceedings.

17. The sanction/approval of scheme does not come on the way of any Competent Authority(ies) to take any action in the event of violation of any law for the time being in force.

18. The Composite Scheme of Merger and Amalgamation, is attached herewith as **Annexure "A"** is approved, which shall be binding on all the petitioner companies, their shareholders, creditors and all concerned under the Composite Scheme of Merger and Amalgamation from date of appointed as mentioned in the Scheme.

19. All the property, rights and powers of the transferor company specified in the scheme annexed herewith as **Annexure B** and all the other property, rights and powers of the transferor company be transferred without further act or deed of the transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and vested in the transferee company for all the estate and interest of the transferor company therein but subject nevertheless to all charges now affecting the same.

20. All the liabilities and duties of the transferor company be

transferred without further act or deed to the transferee company and accordingly the same shall pursuant to section 232 of the Act, be transferred to and become the liabilities and duties of the transferee company.

21. All proceedings now pending by or against the Transferor Company be continued by or against the Transferee Company.

22. The Petitioner Company shall, within thirty days from the date of receipt of this Order, a certified copy of this Order to be delivered to the concerned Registrar of Companies for registration and on such certified copy being so delivered the transferor companies shall be dissolved and the Registrar of Companies shall place all documents relating to the transferor company and register with him on the file kept by him in relation to the transferee company and the files relating to the said all companies shall be consolidated accordingly.

23. The shares of the Petitioner Transferee Company held by the Transferor Company shall stand cancelled and extinguished by process of law as envisaged under Clause 6.4 of the Scheme.

24. Upon Scheme being effective, the Authorized Capital of the Transferor Company shall be consolidated with the Authorized Capital of the Transferee Company as envisaged under Clause 13.1 of the Scheme.

25. The legal fees and expenses of the office of the Regional Director are quantified at Rs.20,000/- (Rupees Twenty Thousand) in respect of the Scheme of Merger and Amalgamation for both Petitioner Companies.

26. The legal fees and expenses of the office of the Official Liquidator is quantified at Rs.15,000/- (Rupees Ten Thousand) in respect of the Scheme of Merger and Arrangement for Transferor Petitioner Company.

27. The aforementioned legal fees and expenses to the Regional Director and Official Liquidator shall be paid by the petitioner Transferee Company.

28. All concerned authorities to act on a copy of this Order along with the Scheme of Merger & Arrangement duly authenticated by the Registrar of this Tribunal. The Registrar of this Tribunal shall issue the authenticated copy of this order along with the Scheme of Merger & Arrangement.

29. The Petitioner Companies are directed to file a copy of this Order, and the approved Scheme attached as Annexure-A & B with this order, duly authenticated by the Registrar of this Tribunal, with the concerned Superintendent of Stamps, for the purpose of adjudication of stamp duty, if any, on the same within 60 days from the date of the order.

30. The Petitioner Companies are directed to file a copy of this order along with a copy of the scheme with the concerned Registrar of Companies, electronically, along with E-form INC- 28 in addition to physical copy as per relevant provisions of the Act.

31. Any person interested shall be at liberty to apply to the Tribunal in the above matter for any direction that may be necessary.

32. Accordingly, the Company Petition CP (CAA) No.13 of 2020 is allowed and disposed of.

CHOKALINGAM THIRUNAVUKKARASU
MEMBER (TECHNICAL)

MANORAMA KUMARI
MEMBER (JUDICIAL)

KS PILLAI